

INCOME VOLATILITY

The variable labour cost model provides a significant cost advantage by avoiding statutory obligations like provident fund, bonuses, and minimum wage laws. “It’s all about flexibility, and it becomes significantly more complicated for platforms to put (workers) into permanent employment... This is also possible due to a massive supply of labour,” says Ravi Kapoor, Partner and Retail and Consumer Goods Leader, PwC India.

That structural imbalance is visible in India’s labour market even today. “It is obviously an employer’s market,” says Kapoor. “There is an abundant supply of people willing to work, which means the capitalist or employer almost always has the upper hand.” Experts argue that the rise of the gig economy is a direct outcome of this reality, where traditional sectors are either under stress or unable to generate enough formal jobs to absorb a growing workforce. The debate around payouts falling after a strong season misses the nature of the business itself, says Amit Gupta, co-founder and CEO of Yulu, a shared electric mobility company providing electric scooters.

“From a gig worker’s perspective, earning somewhere around ₹50,000 one month and then seeing payouts drop to ₹30,000 or less the next can feel unfair,” Gupta says. But the additional ₹20,000, he says, should be seen as a bonus rather than as an assured or permanent income. What often gets overlooked is that platforms like Swiggy, Zomato and Zepto frequently pay ₹10,000 more than minimum wages during peak periods—earnings that, ideally, could be set aside for leaner months. “Unfortunately, that doesn’t always happen,” he adds.

THE EMPLOYMENT GAP

Gig work is also filling a broader structural gap. Of India’s 1.5-billion population, only 70–80 million workers are formally employed, says Kartik Narayan, CEO of Apna Jobs Marketplace. “With a steady stream of graduates entering the job market and limited availability of well-paying, full-time jobs, the challenge becomes how to absorb this surplus labour,” says Narayan.

Rahul Ahluwalia, Founding Director of the Foundation for Economic Development and former Officer on Special Duty at the NITI Aayog, places gig platforms in a historical context. India, he notes, has long been dominated by casual, task-based employment across agriculture, construction, domestic work and petty trade. In that sense, gig platforms represent an incremental upgrade rather than deterioration.

“Gig platforms match workers to opportunities us-



ABHISHEK SEN

Partner, People
Advisory
Services, EY India

“The gig economy works in India because it solves two problems at once—businesses get scalable, cost-efficient labour, and workers get immediate earning opportunities”



AMIT GUPTA

Co-founder and
CEO, Yulu

“China has over 100 million gig workers; India has 10 million and growing. Gig work reflects cyclical demand, boosts incomes, and offers businesses flexibility”

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ing assets they already have—a bike, a smartphone and time flexibility. For most workers, this is their best available option,” he says.

While there has been a move from worse to better in the Indian context, it is far from ideal. The situation today describes the pragmatic constraints of the Indian labour market. “If the system is truly fair, why not move to transparent fixed pay—based on kilometres, order rates or piece-rate models?” asks Salauddin.

As India’s gig economy marches towards scale, the challenge lies in balancing efficiency with equity—preserving the flexibility that underpins platform economics while ensuring workers are not left entirely exposed to volatility. **BT**

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